

# High inflation and subdued economic conditions through 2026

- **Key changes:** Italian GDP increased by 0.3% q/q in Q1, according to the latest revision. This has mechanically raised our growth forecast for this year by 0.1ppt to 0.5%, but we've kept our projection for 2027 at 0.6%. Inflation rose to 3.2% in May and we expect it to remain above 3% for the rest of this year. Our inflation forecast is broadly unchanged from last month, averaging just under 3% this year overall, but we see the rate moderating to 1.9% in 2027.
- **Short-term forecast:** The latest surveys suggest activity in Q2 has been weak so far, but hard data appears to be marginally more resilient than we expected. Retail sales were broadly flat in April, but industrial production grew for the third consecutive month (although the underlying drivers could still prove temporary). The main near-term hit to households will be from higher energy prices weighing on real incomes, confidence, and spending. Inflation should peak at around 3.5%, from 3.2% currently, through a combination of double-digit increases in energy inflation and the second-round impact on core and food.
- **What to watch out for:** The key risk is the duration and intensity of the US-Israel war with Iran and its impact on energy markets. A prolonged disruption of shipping through the Strait of Hormuz would result in a larger revision to our forecast for commodity prices and would further increase inflation and reduce activity. Survey data will be crucial in judging whether the Italian economy will contract in Q2 and Q3 (our baseline view), and to what extent. The Istat business indicator fell again in May, after April's plunge, a setback after the fairly strong start to the year. This points to very subdued economic momentum.

Table 1: Italy forecast overview

| (ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED) |       |       |       |       |       |       |
|----------------------------------------------|-------|-------|-------|-------|-------|-------|
|                                              | 2023  | 2024  | 2025  | 2026  | 2027  | 2028  |
| GDP                                          | 1.0   | 0.6   | 0.7   | 0.5   | 0.6   | 0.8   |
| Private consumption                          | 0.5   | 1.2   | 1.1   | 0.6   | 0.6   | 1.0   |
| Industrial production                        | -2.1  | -3.9  | -0.3  | 0.5   | 1.5   | 1.9   |
| Employment                                   | 2.0   | 1.6   | 0.7   | 0.4   | 0.1   | 0.1   |
| Unemployment rate (%)                        | 7.7   | 6.6   | 6.1   | 5.3   | 5.6   | 5.9   |
| Government balance (% of GDP)                | -7.1  | -3.4  | -3.1  | -2.9  | -2.8  | -2.8  |
| Gross government debt (% of GDP)             | 133.9 | 134.7 | 137.1 | 138.9 | 140.0 | 139.6 |
| Current a/c balance (% of GDP)               | 0.2   | 1.1   | 1.1   | 1.0   | 1.2   | 1.3   |
| Consumer prices                              | 5.6   | 1.0   | 1.5   | 2.9   | 1.9   | 1.8   |
| ECB's deposit rate (% EOP)                   | 4.0   | 3.0   | 2.0   | 2.5   | 2.0   | 2.0   |
| 10yr govt. bond yield (% EOP)                | 3.7   | 3.5   | 3.5   | 3.8   | 3.9   | 3.9   |
| Exchange rate (US\$ per euro, EOP)           | 1.11  | 1.04  | 1.18  | 1.17  | 1.18  | 1.18  |

Source: Oxford Economics

## Baseline forecast

### Recent developments

Following the detailed Q1 GDP release, the Italian economy grew by 0.3% q/q in Q1, after an upward revision reported by ISTAT. Private consumption was stronger than expected, rising by 0.5% q/q, and net trade also made a sizeable contribution to growth. The February Winter Olympics were likely the main driver of the upside surprise in Q1, as ticket sales, increased tourist arrivals, and broadcasting-rights revenue provided a temporary boost to GDP.

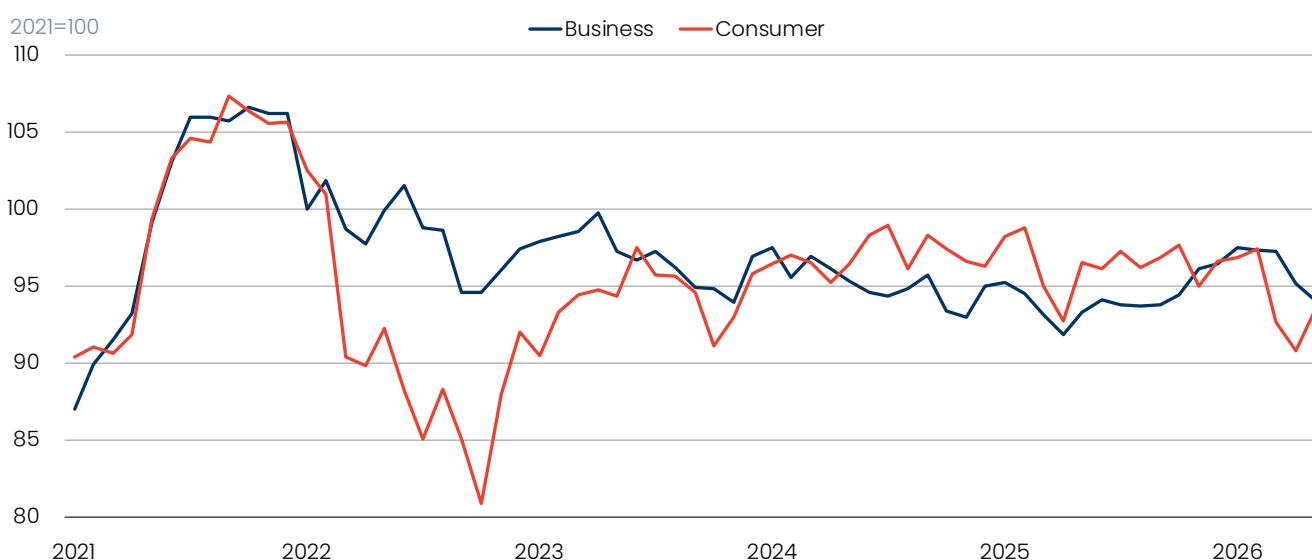
The latest surveys suggest activity in Q2 has been weak so far, although the hard data appears to be marginally more resilient. Retail sales were broadly flat in April and, although industrial production grew for the third consecutive month, the underlying drivers could prove temporary. Part of the recent gain may reflect firms bringing production [forward](#) to build inventories to protect against potential supply disruptions. Unless transport flows through the Strait of Hormuz normalise soon, higher raw material costs and renewed supply-chain pressures are likely to weigh on production activity in the coming months.

Regarding survey data, the overall picture points to a sluggish economic momentum. And while the composite PMI stayed above the 50-mark in both April and May, it was on the back of an unsustainable increase in the manufacturing PMI. The Istat business indicator further decreased in May, after April's plunge, following a fairly strong start to the year. Despite a monthly uptick, the consumer confidence indicator also remains relatively low.

Inflation has risen sharply. Headline inflation reached 2.7% in April and accelerated further to 3.2% in May, up from below 1.5% in Q1, thereby reaching its highest rate since late 2023. Energy inflation reached double digits at 12% y/y. Core inflation eased to 1.6% in April due to an earlier Easter, but reversed course in May by picking up to 2%, broadly in line with the outturn at the start of the year. Food price inflation increased but only marginally and on the back of stronger unprocessed food prices.

### Chart 1: The war has hit Italian confidence

#### Italy: Business and consumer confidence



Sources: Oxford Economics, Haver Analytics

## Short-term forecast

We expect growth to remain weak in the near term. We forecast Italian GDP will grow by 0.5% in 2026, followed by 0.6% in 2027. The initial impact of the shock will mainly be felt by consumers, as higher energy prices reduce real incomes and weigh on confidence. After a fairly strong start to the year, we forecast private consumption will contract in both Q2 and Q3 this year. We think inflation will average just below 3% this year, nearly double the 1.7% rate we expected in February, primarily driven by the surge in energy costs. We expect inflation to further edge up from the 3.2% recorded in May and peak at around 3.5% later this year.

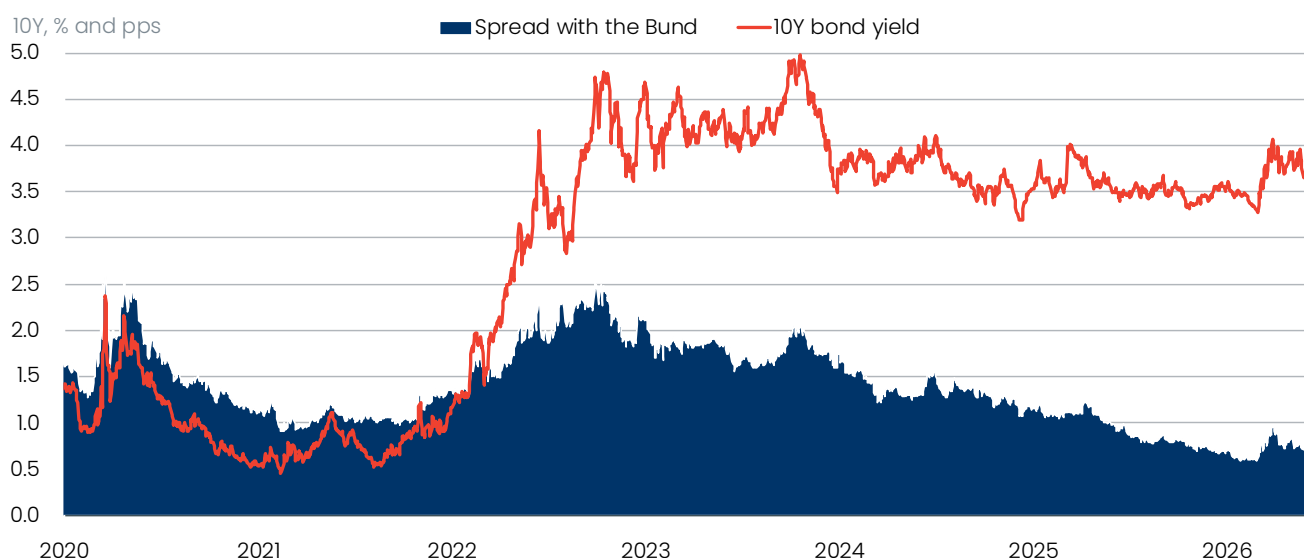
But the key risk is the duration and intensity of the US-Israel war with Iran and its impact on energy markets. A prolonged disruption of shipping through the Strait of Hormuz would result in a larger revision to our forecast for commodity prices and would further increase inflation and reduce activity.

## Policy assumptions

**Fiscal policy.** In our [baseline](#) scenario, we don't anticipate a bond crisis as the government has committed to a multi-year fiscal consolidation path that financial markets consider credible ([Chart 2](#)). Although we expect the fiscal deficit to decrease gradually, there's a risk that the government will have to increase spending to support real incomes if the energy crisis continues. The 3.1% deficit last year means that Italy didn't exit the EU's excessive deficit procedure and therefore postponed its planned increase in military spending. However, we still expect fiscal incentives for the construction sector to [inflate](#) public debt.

**Chart 2: Spread to bunds is relatively low but a higher 10-year yield will worsen financial conditions**

### Italy: Long-term sovereign bond yields



Sources: Oxford Economics, Haver Analytics

**Monetary policy.** After the rate hike in June, we see another 25bps rate hike by the European Central Bank this year to keep inflation expectations anchored amid the rapid rise in energy prices. This reflects a new era of more frequent global supply shocks that require a more robust policy response. Also, the ECB's communication has remained hawkish since the inflation surge in 2022, so we don't think the central bank will be able to look through this energy shock, even if it deems it temporary. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

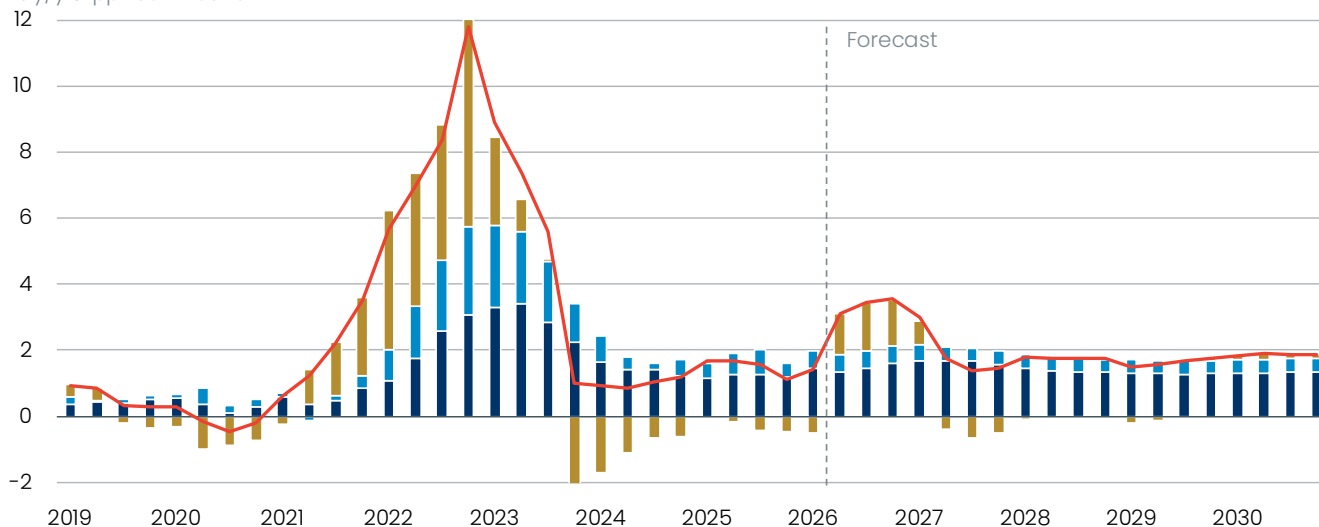
## Key drivers of short-term forecast

**Inflation to remain above 3% for the rest of the year.** Inflation averaged 1.5% last year after 1% in 2024, with both prints lower than the Eurozone average. We expect upward pressure on headline inflation later this year as higher energy prices feed into food, goods, and services prices, with inflation above 3% for the remainder of this year and averaging just below 3%.

Chart 3: Inflation to reach more than 3% over the course of this year

### Italy: Inflation

% y/y & ppt contribution

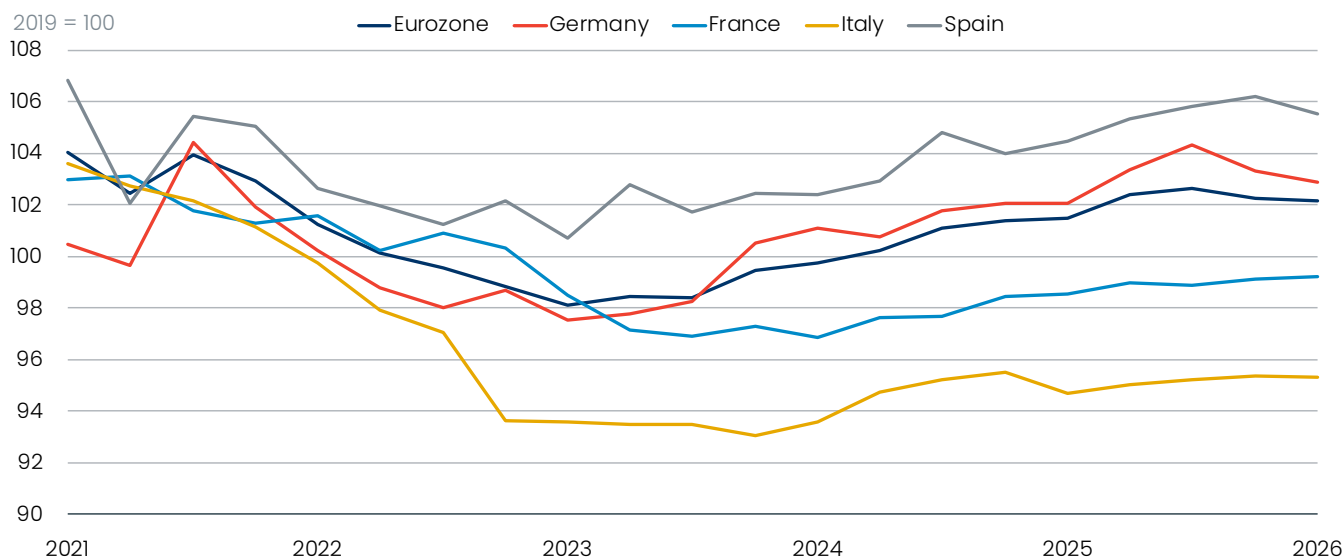


Sources: Oxford Economics, Haver Analytics

**The increase in prices will weaken consumption momentum.** Consumer growth was very strong in Q1 this year. This probably reflected the timing of the winter Olympics, and we expect some payback in Q2. We see private consumption contracting, albeit marginally, in both Q2 and Q3. Aside from the hit to purchasing power from higher energy prices, consumption will likely also suffer from weaker household sentiment, more precautionary savings, and higher interest rates. The impact will be uneven, though, with lower-income households more exposed to energy and food price increases. Moreover, the shock will impact Italian wages, which in real and hourly terms are much lower than the pre-Covid period and have underperformed those of other Eurozone economies (Chart 4).

Chart 4: Real wages in Italy have underperformed those in other Eurozone economies

#### Eurozone: Real hourly wages

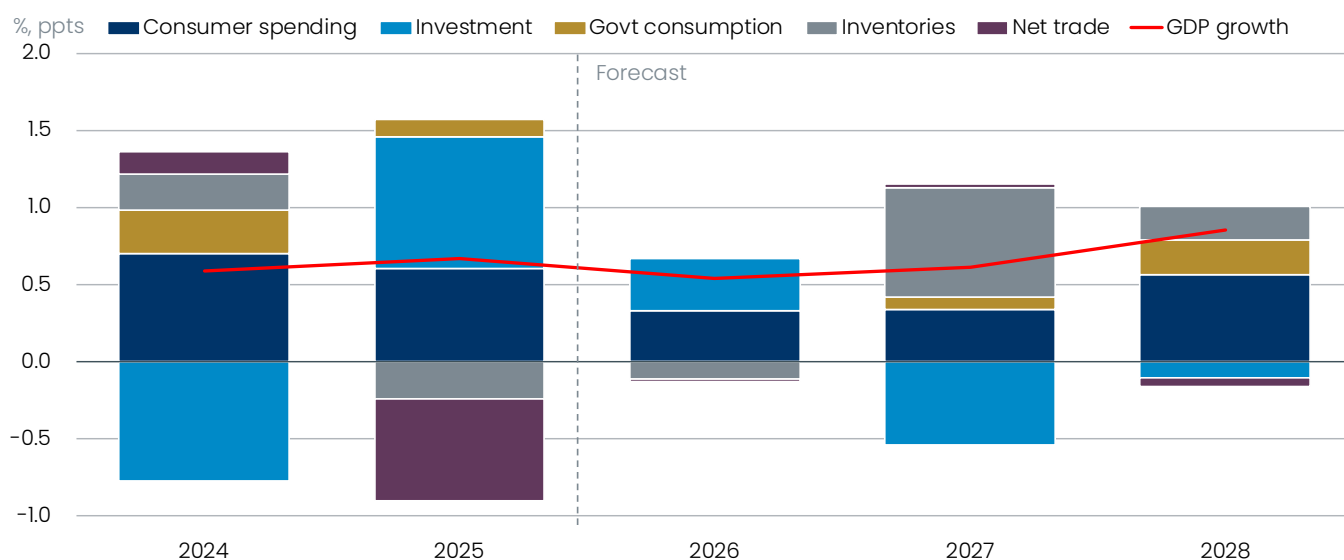


Sources: Oxford Economics, Haver Analytics

**Residential investment will likely fall, but government investment should continue to increase.** The ISTAT revision to historical data has led to much lower residential investment, which we expect to remain quite subdued over the next few years. At the same time, we expect government investment to continue its positive momentum. Overall, we see the outlook for investment as less positive than at the start of the year, with uncertainty and credit conditions playing a role.

Chart 5: We forecast Italy's economy will grow by 0.5% in 2026 and 0.6% in 2027

#### Italy: Contributions to GDP growth



Sources: Oxford Economics, Haver Analytics

**The external demand environment is unfavourable.** European and Italian exports are caught in the crossfire of US tariffs and fierce Chinese competition. However, Italian exports held up relatively well last year, mainly thanks to some key exports, such as pharmaceuticals. As this could have been related to the front-loading of exports to the

US ahead of potential tariffs, it's too early to believe the impact of US tariffs has diminished. Moreover, the positive Q1 number can partly be attributed to a one-off ship delivery.

**The government has spent around 60% of its EU recovery funds.** The Italian government had spent around 60% of its allocated funds from the Next Generation EU programme by April this year, according to a report from the Parliamentary Budget Office. There'll be some leeway to finalise investments linked to the NGEU beyond this year, subject to Italy completing the agreed milestones and targets by August. For this reason, we don't expect a steep fiscal cliff next year.

### What to watch out for

**Economic stagnation.** Although risks to the Italian economy have diminished, the prevailing perception is that, even when all supportive factors are in place, Italy appears at best to be growing broadly in line with its limited potential. Moreover, since the Covid-19 pandemic, the Italian economy has underperformed other advanced economies such as the US and Spain, while growing broadly in line with more subdued peers such as France and Germany ([Chart 6](#)). The NGEU programme is also unlikely to materially raise Italy's potential output.

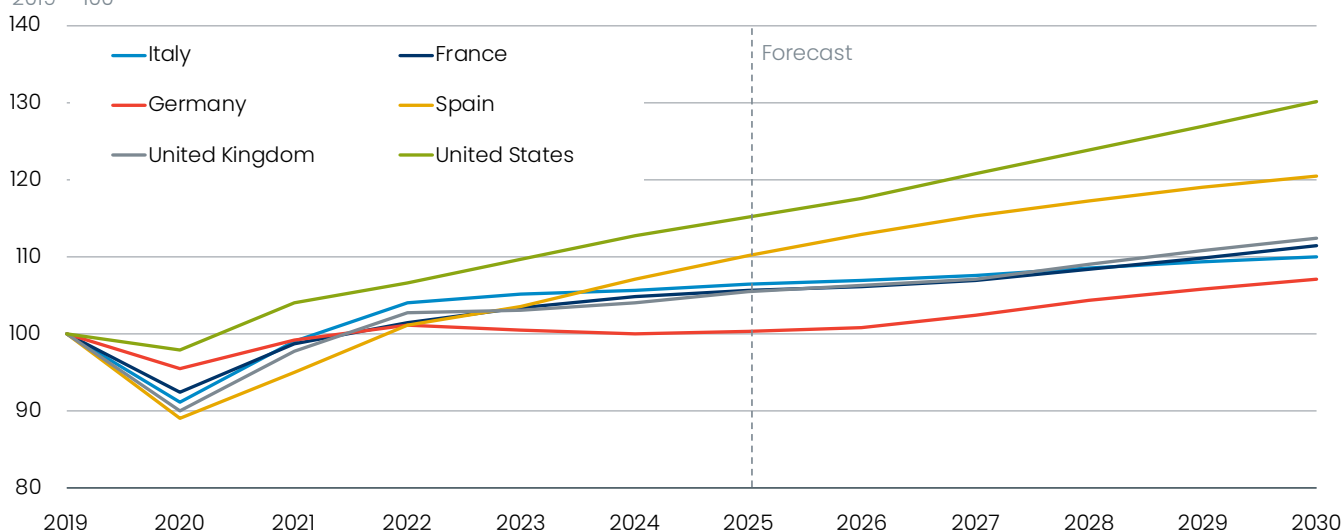
**Italy's fiscal position will remain an issue in the medium term.** The cost of some fiscal measures has exceeded official estimates, which will negatively affect debt dynamics. We forecast Italy's public debt will increase and remain above 135% of GDP over the next few years. This means debt [sustainability](#) will be a recurring issue, although we don't anticipate a debt crisis in our baseline.

**Political developments.** In [September 2022](#), when the right-wing party emerged as the clear winner of the Italian elections, we warned about the rising risks to fiscal sustainability under a populist government. However, the administration of Giorgia Meloni has paid more attention to this issue than other right-wing governments, with an ongoing moderate fiscal consolidation plan. The next key political event will be the 2027 general election, but it's too early to speculate about which coalition will prevail.

**Chart 6: Italian GDP is clearly lagging that of other advanced economies**

#### Gross domestic product

2019 = 100



Sources: Oxford Economics, Haver Analytics

**Low potential growth.** An ageing population, lower education levels relative to its peers, and subdued investment will keep Italy's potential growth extremely low.

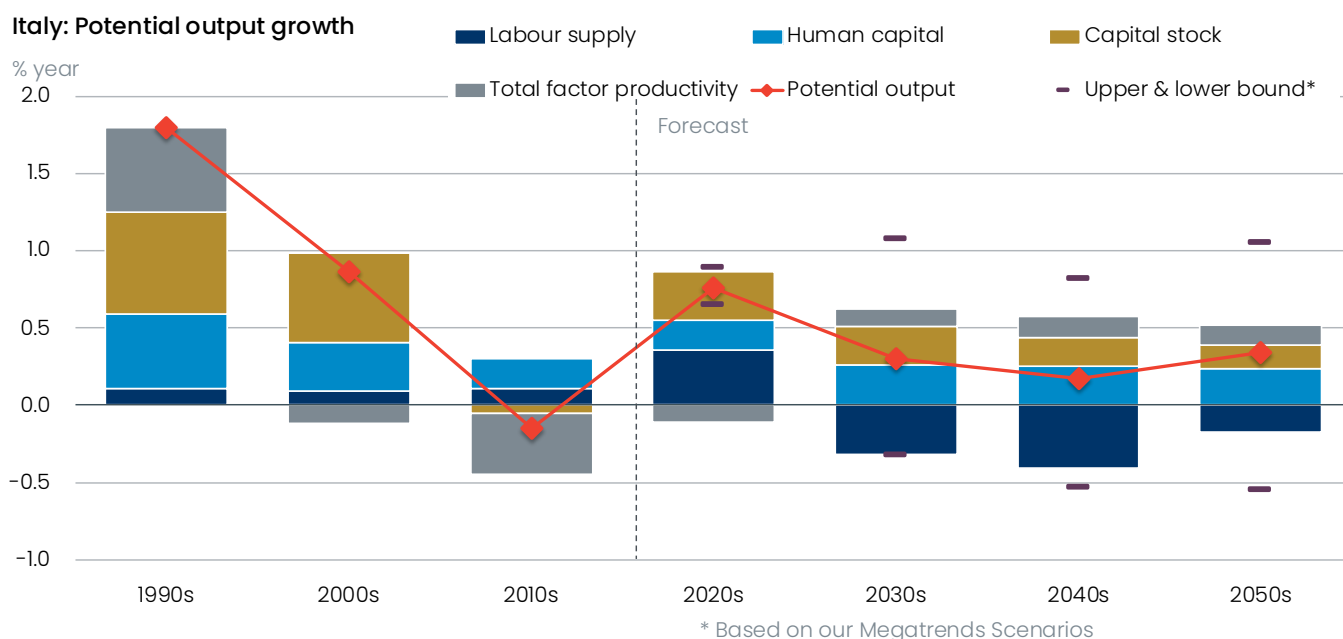
## Long-term prospects

Italy faces severe structural challenges, including an ageing population, lower educational attainment compared with its peers, and sluggish investment – all of which will keep its potential growth rate close to zero. Investment will add to the stock of physical capital, although not enough to fully offset demographic factors. At the same time, total factor productivity and human capital gains should support potential output.

Moreover, our baseline forecast assumes an improvement in Italy's labour productivity and total factor productivity growth over the medium term – a normalisation after two especially negative decades. The demographic drag will severely limit potential growth, as the working-age population will already start to decline this year.

Moreover, low fertility rates will continue to exert a heavy drag on potential growth prospects. In fact, Italy has one of the lowest participation rates among developed countries, at about 65% pre-pandemic. The female participation rate is roughly 18ppts lower than that of males. As a result, reforms to increase participation in the labour force could have a significant impact on long-term growth.

Chart 7: Demographics will severely limit potential growth



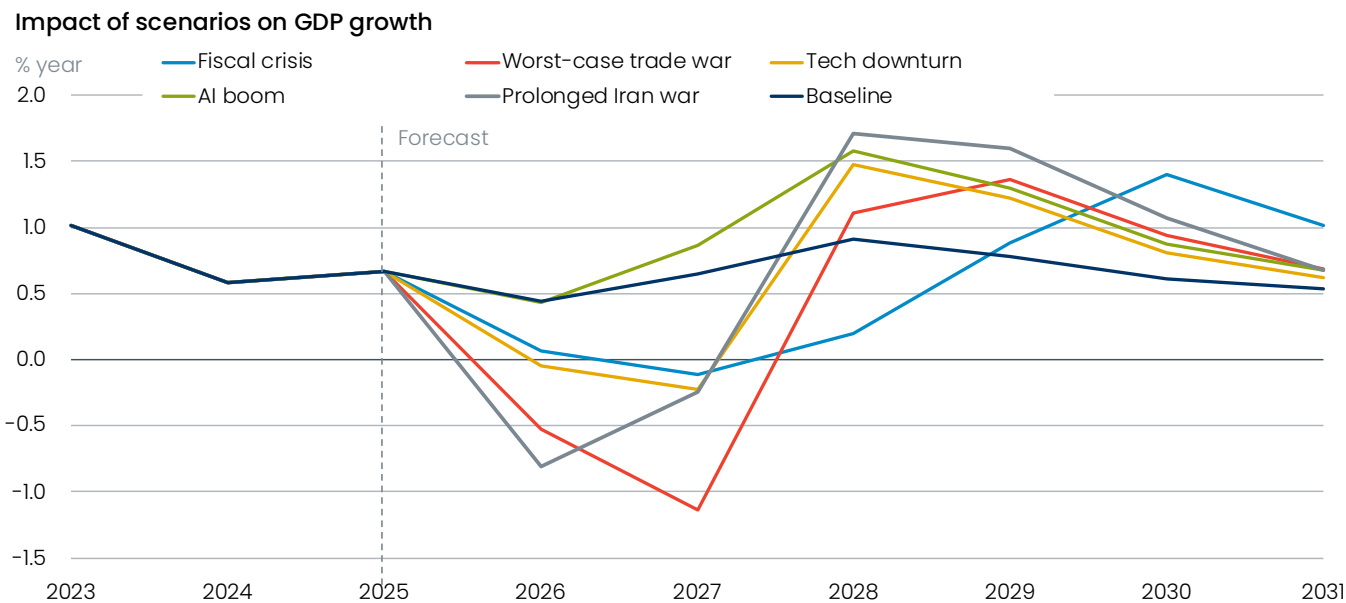
Sources: Oxford Economics, Haver Analytics

## Scenarios

### Exposure to key global risks

**Prolonged US-Israel war with Iran.** In this scenario, war proves more prolonged than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for an extended period. Energy shortages damage activity, with some household spending delayed due to disruption to travel and shipping. Supply-chain pressures outside the energy sector result in broader price and cost pressures. Although inflation expectations remain relatively well-anchored, investors demand a higher inflation risk premium, causing borrowing costs to rise. In this scenario, the Italian economy enters recession this year.

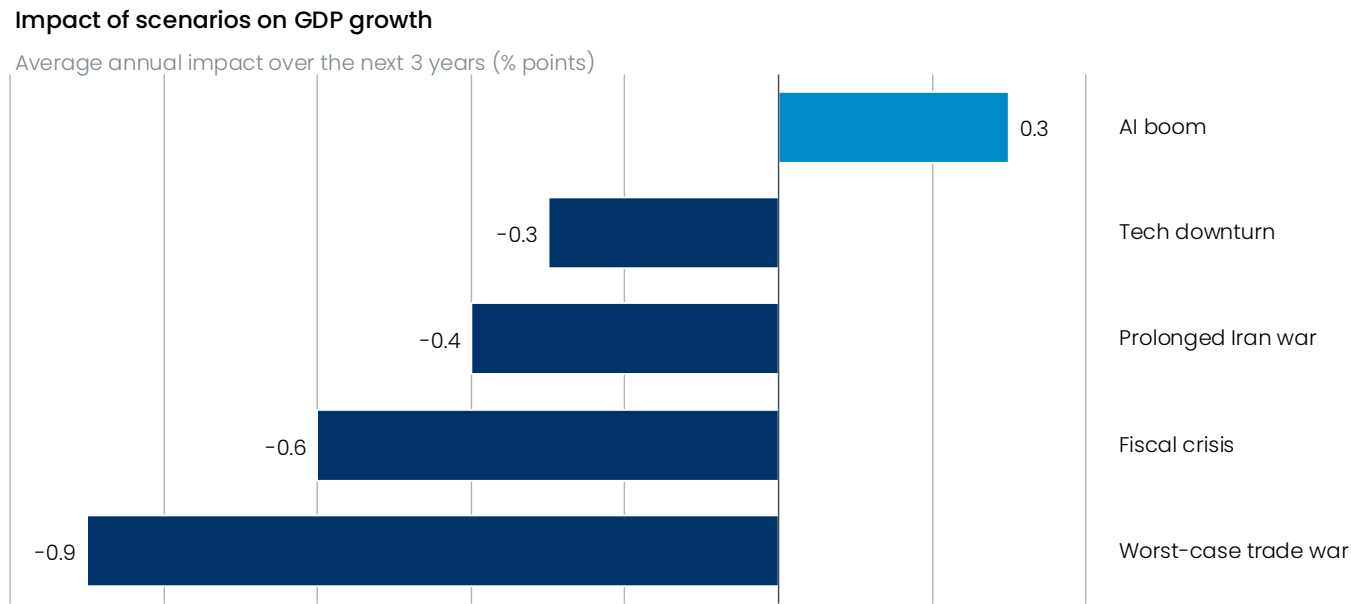
Chart 8: Several scenarios could result in lower growth than in our already muted baseline



Source: Oxford Economics

**Tech downturn.** The AI boom turns into a bust in this scenario, with global growth slowing sharply amid falls in stock prices and investment. US tech stocks fall by 25% in the first year of the scenario as concerns rise over tech valuations. US growth grinds to a halt during 2026, despite increased Fed easing, as the recent surge in US capital expenditure abruptly ends. This spills over into global growth, which would be 1ppt below our baseline. The Italian economy is affected, and its average growth would be 0.3ppts lower per year than our baseline forecast for the next three years.

Chart 9: Risks are skewed to the downside



Source: Oxford Economics



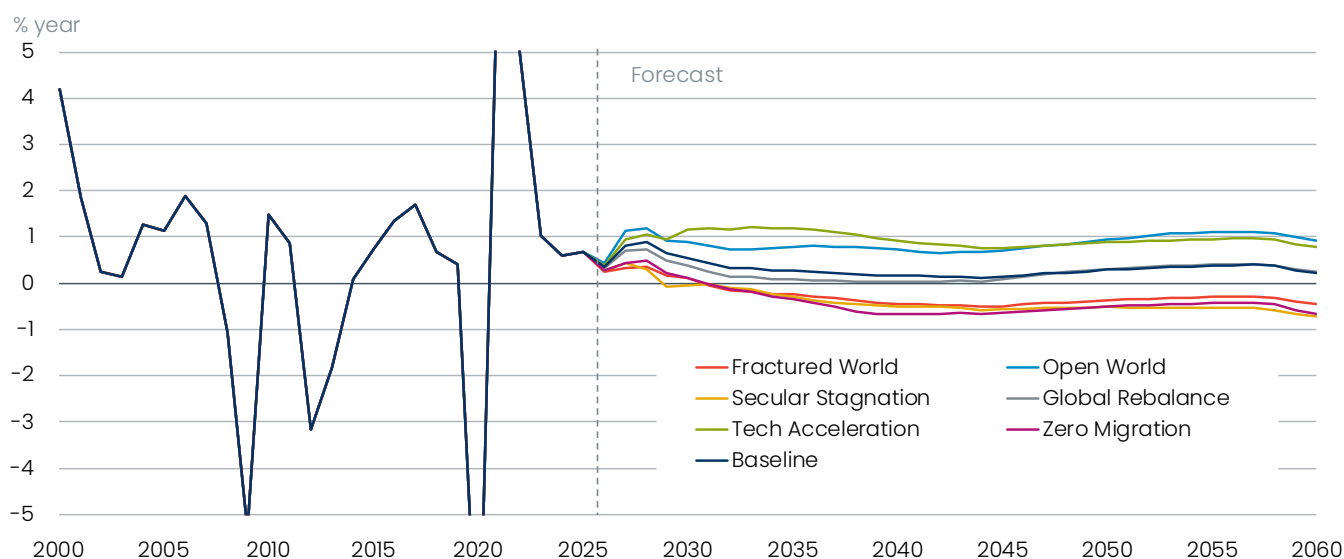
## Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

**Tech acceleration.** In this scenario, trade barriers are eased over the next decade, fostering greater cooperation and improved geopolitical stability. Productivity growth strengthens amid a more stable business environment, technological progress, and higher fertility rates compared with our baseline. Sustained real wage growth increases labour market participation. The result is that annual GDP growth would be around 1ppt higher than our baseline forecast. Nominal and real interest rates would also rise.

Chart 10: Globalisation and technological progress are the main scenario drivers

### Italy: GDP growth



Sources: Oxford Economics, Haver Analytics

**Zero migration.** Under this scenario, future flows of migration are removed from our baseline to isolate what migration contributes to growth, incomes, fiscal stability, and inflation across both destination and origin economies. In this scenario, the Eurozone's potential output growth is broadly flat, with the Italian economy among the hardest hit of the advanced economies.

## Economic risk

### Economic risk evaluation

Table 2: Economic Risk Index

|                  | JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK) | SCORE CHANGE FROM DECEMBER | RANK OUT OF 164 (1= BEST) |
|------------------|-------------------------------------------------------|----------------------------|---------------------------|
| Overall          | 4.4                                                   | 0.1                        | 46                        |
| Market demand    | 3.0                                                   | 0.0                        | 7                         |
| Market cost      | 5.0                                                   | 0.0                        | 65                        |
| Exchange rate    | 3.3                                                   | 0.5                        | 45                        |
| Sovereign credit | 3.9                                                   | 0.0                        | 48                        |
| Trade credit     | 7.0                                                   | 0.0                        | 53                        |

Source: Oxford Economics

### Overall risk for Italy: 4.4/10\*

Italy's overall economic risk score of 4.4 is moderate but higher than the Western European average, ranking it 46th out of 164 countries. Italy's GDP only recovered to its pre-global financial crisis level in 2022, in stark contrast to other advanced economies. Over the long term, the economy will be held back by Italy's ageing population and the modest pace of productivity gains due to slow progress on economic reforms.

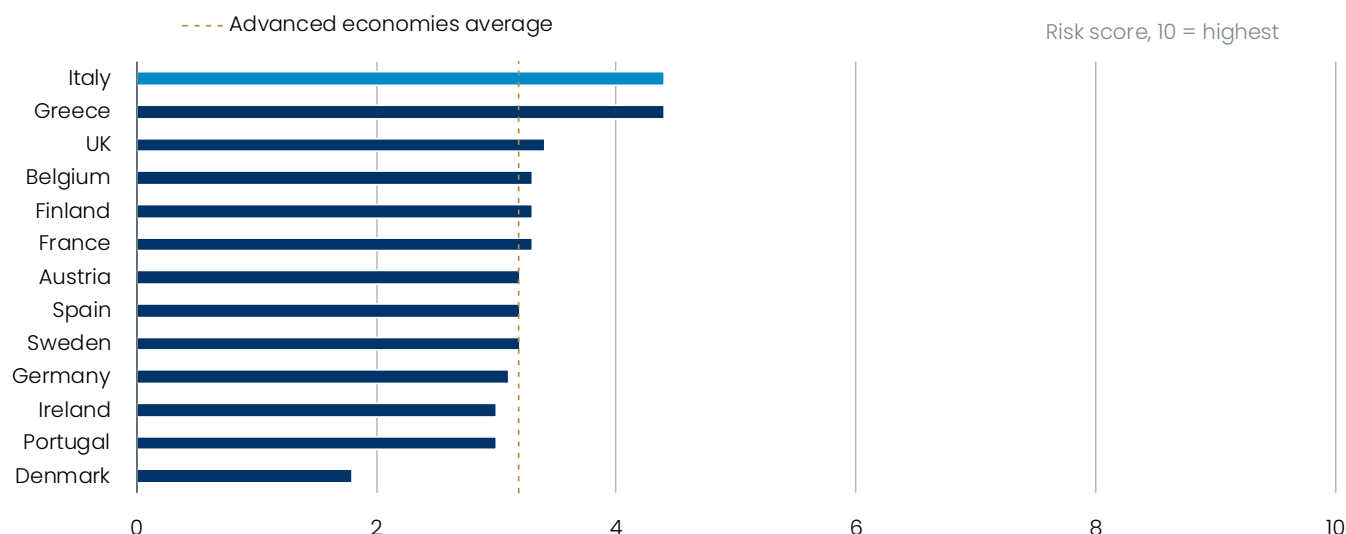
### Market demand: 3.0/10

The market demand risk score of 3.0 is broadly in line with the average for Western Europe. Domestic demand picked up in 2016–2017 but was subdued in 2018–2019. Consumption spending only returned to 2019 levels in Q2 2022, but Italian real wages have materially underperformed those of its peers.

Employment also returned to its 2019 level in Q2 2022 and has remained strong. However, we expect unemployment will gradually converge to the non-accelerating inflation rate of unemployment (NAIRU) over the medium term, which we believe is around 7%–8%. Still, it's difficult at this stage of the economic cycle to assess the level of the NAIRU.

Chart 11: Italy has one of the highest risk scores in Europe

### Economic risk: Italy vs Advanced economies average



Source: Oxford Economics

### Market cost: 5.0/10

The market cost risk score of 5.0 is well above the Western European average. Since the euro was introduced, wages have risen faster than productivity, causing competitiveness to decline. But salary and currency dynamics have helped Italy to regain some competitiveness over the past few years. Moreover, Italian exports as a share of global trade were relatively stable up until 2023, before decreasing more recently.

### Exchange rate: 3.3/10

Italy's exchange rate risk score remains low at 3.3, mirroring that of other Eurozone countries. The euro surged to \$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around \$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises.

ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at \$1.17 at end-2026 and \$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

### Sovereign credit: 3.9/10

Italy's sovereign credit risk score of 3.9 is higher than the average for Western Europe. We expect the Italian authorities to continue implementing fiscal-tightening measures in the medium term that will gradually lead to a sizeable primary surplus. This will be crucial for Italy to reduce its debt, given that we think nominal growth rates will remain subdued over the medium term, just below Italy's effective interest rate.

Several [risks](#) could threaten our baseline view. Economic risks are related to the dynamics of underlying economic factors, with growth undershooting expectations. Political risks are linked to the next government's fiscal stance, as the current administration seems keen to continue with gradual fiscal consolidation.

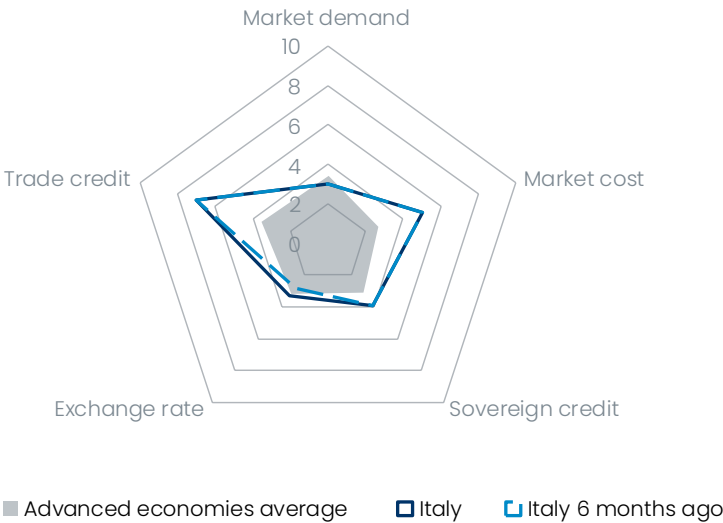
**Trade credit: 7.0/10**

Trade credit risk – a measure of private-sector repayment risk – is high by regional standards, which is disappointing for one of the largest economies in the EU.

The Mario Draghi government of 2021-2022 moved ahead with some structural reforms. But constraints on the economy remain, stemming from a public administration that isn't friendly to business and, despite recent [improvements](#), a still-sluggish judicial system.

**Chart 12: Italy scores comparatively poorly on sovereign credit, trade credit, and market cost**

**Economic risk: Italy vs Advanced economies average**



Source: Oxford Economics